

consider that (a) NVF itself had only \$700,000 in cash at the year-end, and had \$4,400,000 of debt due in 1970 (evidently the \$6 million paid for the warrants had to be borrowed); (b) it was buying in this warrant “paper money” at a time when its 5% bonds were selling at less than 40 cents on the dollar—ordinarily a warning that financial difficulties lay ahead.

2. As a partial offset to this, the company had retired \$5,100,000 of its bonds along with 253,000 warrants in exchange for a like amount of common stock. This was possible because, by the vagaries of the securities markets, people were selling the 5% bonds at less than 40 while the common sold at an average price of 13½, paying no dividend.

3. The company had plans in operation not only for selling stock to its employees, but also for selling them a larger number of *warrants* to buy the stock. Like the stock purchases the warrants were to be paid for 5% down and the rest over many years in the future. This is the only such employee-purchase plan for *warrants* that we know of. Will someone soon invent and sell on installments a right to buy a right to buy a share, and so on?

4. In the year 1969 the newly controlled Sharon Steel Co. changed its method of arriving at its pension costs, and also adopted lower depreciation rates. These accounting changes added about \$1 per share to the reported earnings of NVF before dilution.

5. At the end of 1970 Standard & Poor’s *Stock Guide* reported that NVF shares were selling at a price/earning ratio of only 2, the lowest figure for all the 4,500-odd issues in the booklet. As the old Wall Street saying went, this was “important if true.” The ratio was based on the year’s closing price of 8 3/4 and the computed “earnings” of \$5.38 per share for the 12 months ended September 1970. (Using these figures the shares were selling at only 1.6 times earnings.) But this ratio did not allow for the large dilution factor,^{*} nor for the adverse results actually realized in the last quarter of 1970. When the full year’s figures finally appeared, they showed only \$2.03 per share earned for the stock, before allowing for dilution, and \$1.80 per share on a diluted basis. Note also that the aggregate market price of the stock and warrants on that date was about \$14 million against a bonded debt of \$135 million—a skimpy equity position indeed.